MBA - 806

ROLEX

Chrono Edge Collection

Driving Marketing Performance

OUTLINE

- Executive Summary
- Introduction
- Environmental Analysis
- Marketing Strategy
- Conclusions
- Q & A

EXECUTIVE SUMMARY

- Rolex faces declining relevance among younger luxury consumers as market preferences shift toward sustainability, minimalism, and digital-first experiences.

- The primary objectives are to increase market share among ages 25–30, strengthen social media presence, and improve brand perception.

- The Chrono Edge Collection is introduced as a modern, sustainable product line designed to attract younger buyers without compromising Rolex’s heritage.

- Key recommendations include enhanced digital storytelling, influencer collaborations, sustainable material integration, and expanded online and pop-up retail distribution.

EXECUTIVE SUMMARY

- Re-establish Rolex as a forward-looking luxury brand for millennials and young professionals. Strengthen emotional connection through modern design and purposeful storytelling.

- Target a 10% increase within the 25–30 demographic in the first 18 months. Driven by accessible luxury pricing and a product line tailored to their lifestyle.

- Enhance visibility through influencer collaborations, immersive content, and social engagement. Reinforce Rolex’s presence across high-performing digital touchpoints.

- Incorporate 20% sustainable materials over the next three years. Position Rolex as a modern luxury leader aligned with environmental responsibility.

THE CHRONO EDGE

OVERVIEW

- Engineered for high-performance professionals aged 25–30, the Chrono Edge Collection elevates the traditional chronograph with a 40mm 904L stainless-steel case, modern design language, and Rolex’s hallmark precision.
- A deep navy blue dial accented with rose gold delivers a refined, boardroom-to-evening aesthetic, positioning the timepiece as a seamless blend of technical mastery and

THE CHRONO EDGE

PRICE & POSITIONING

- Priced in the $7,000–$9,000 bracket, the Chrono Edge delivers strong value within the luxury chronograph landscape without diluting brand equity.
- Positioned as an attainable yet prestigious entry point, it resonates with rising professionals seeking a high-impact, long-term investment piece.

INVESTMENT VALUE

- Anchored by an in-house movement, premium materials, and a timeless design language, the Chrono Edge is engineered for multi-generational durability and long-term value retention.
- For emerging collectors, it serves as a strategic gateway into a legacy brand known for consistent appreciation, craftsmanship, and enduring market relevance.

ROLEX
CHRONO EDGE

Reference Number - 126509 - CE

Case Material - 903L Stainless Steel

Case Diameter - 40mm

Movement - Cal 4131, Automatic

Power Reserve - 72 hours

Water Resistance - 100 meters

Bracelet - Oyster, Solid Oysterclasp Links

CERTIFIED
Superlative chronometer

WARRANTY
5 Years

KEY FEATURES

⚙️ Precision Chronograph
Column-wheel mechanism with vertical clutch

🔒 Oyster Case
Monobloc middle case, screw-down case back

💎 Superlative
-2/+2 seconds per day after casing

DESIGNED FOR THE NEXT GENERATION OF ACHIEVERS

WHERE HERITAGE MEETS INNOVATION

ROLEX COMPANY LEGACY

- Founded in 1905, Rolex has redefined luxury and precision in watchmaking, introducing iconic innovations that continue to set industry standards and exemplify Swiss craftsmanship.

- The Rolex Innovation Timeline highlights the brand’s groundbreaking contributions to modern watchmaking, from pioneering waterproof technology to redefining precision and functionality. Each milestone reflects Rolex’s commitment to craftsmanship, engineering excellence, and timeless design. This visual journey showcases how Rolex has continuously shaped the luxury watch industry while staying true to its heritage.

INTRODUCTION

HISTORY & BACKGROUND

- *Foundation:* In 1905, Hans Wilsdorf and Alfred Davis, his brother-in-law, established Wilsdorf & Davis Ltd. in London.
- *Brand Birth (1908):* Trademark “ROLEX” was registered.
- *Relocation (1919):* To Geneva, Swiss heritage and cost efficiency, direct access to suppliers in Bienne.
- *The End of the partnership (1919):* Wilsdorf became the sole proprietor after acquiring Davis's share of the business
- *Three Innovation pillars (1910-1931):* Chronometer certification (precision), Oyster with screw-down crown (waterproofing), Oyster Perpetual (self-winding).

SPORTS LEGACY AND MODERN LUXURY STRATEGY

- *Iconic Sports Watches (1953-1963):* Daytona, GMT-Master, and Submariner were once tools but are now investment pieces and prestige symbols.
- *Vertical Integration (1905–2004):* full supply chain control for quality and innovation; 70-year handshake agreement with Hermann Aegler; acquisition in 2004.
- The Hans Wilsdorf Foundation's private ownership, which is not public, allows for a focus on quality over quarterly profits for more than a century.
- *Present Market Position (2024):* CHF 10.58 billion in revenue, and more than 9,000 workers across four Swiss production facilities.

CURRENT LUXURY WATCH MARKET OVERVIEW

Key Statistics on Market Dynamics

$63.72 B

Luxury Watch Market Size

Estimated market value for luxury watches.

34.23%

Rolex Market Share

Percentage of Swiss luxury watch exports.

MARKET SUMMARY

The Chrono Edge Collection embodies a sleek, minimalist design tailored for high-performance lifestyles, integrating sustainable materials without compromising Rolex's renowned craftsmanship and precision engineering.

- Global luxury watch market valued at ~$50B.
- Rolex holds 25–30% share of Swiss luxury watch sales.
- U.S. is the No.1c Swiss watch export market (17% of total) Europe remains a mature high demand region.

TARGET MARKET

Young Professionals and Entrepreneurs

- Young professionals ages 25–30.
- Income bracket typically $90k–$200k+ annually in U.S. & Europe.
- 70% prefer brands that reflect status + sustainability.
- 80% research luxury products entirely online before purchase.

In picture 1, Brynn Wallner, founder of Dimepiece steps out in a refined Lady-Datejust, underscoring her signature blend of modern flair and classic luxury.

In picture 2, 22-year-old tennis sensation Carlos Alcaraz showcases a Cosmograph Daytona, reinforcing the model’s deep alignment with high-performance athletic excellence.

MARKET DEMOGRAPHIC

Key performance indicators and targets

52 %

Contribution of Millennials & Gen Z to global luxury sales

70%

Approximate luxury spending by 2030

60%

Buyers considering resale value before purchasing a watch

45%

Gen Z buyers preferring luxury watches over jewellery

COMPETITION

- Direct Competitors:- Omega, Cartier, Breitling, TAG Heuer (similar luxury tier).
- Aspirational Competitors:- Patek Philippe, Audemars Piguet, Vacheron Constantin.
- Indirect Competitors:- Apple Watch & other smartwatches.
- Pre-owned & vintage Rolex market (fast-growing among youth).

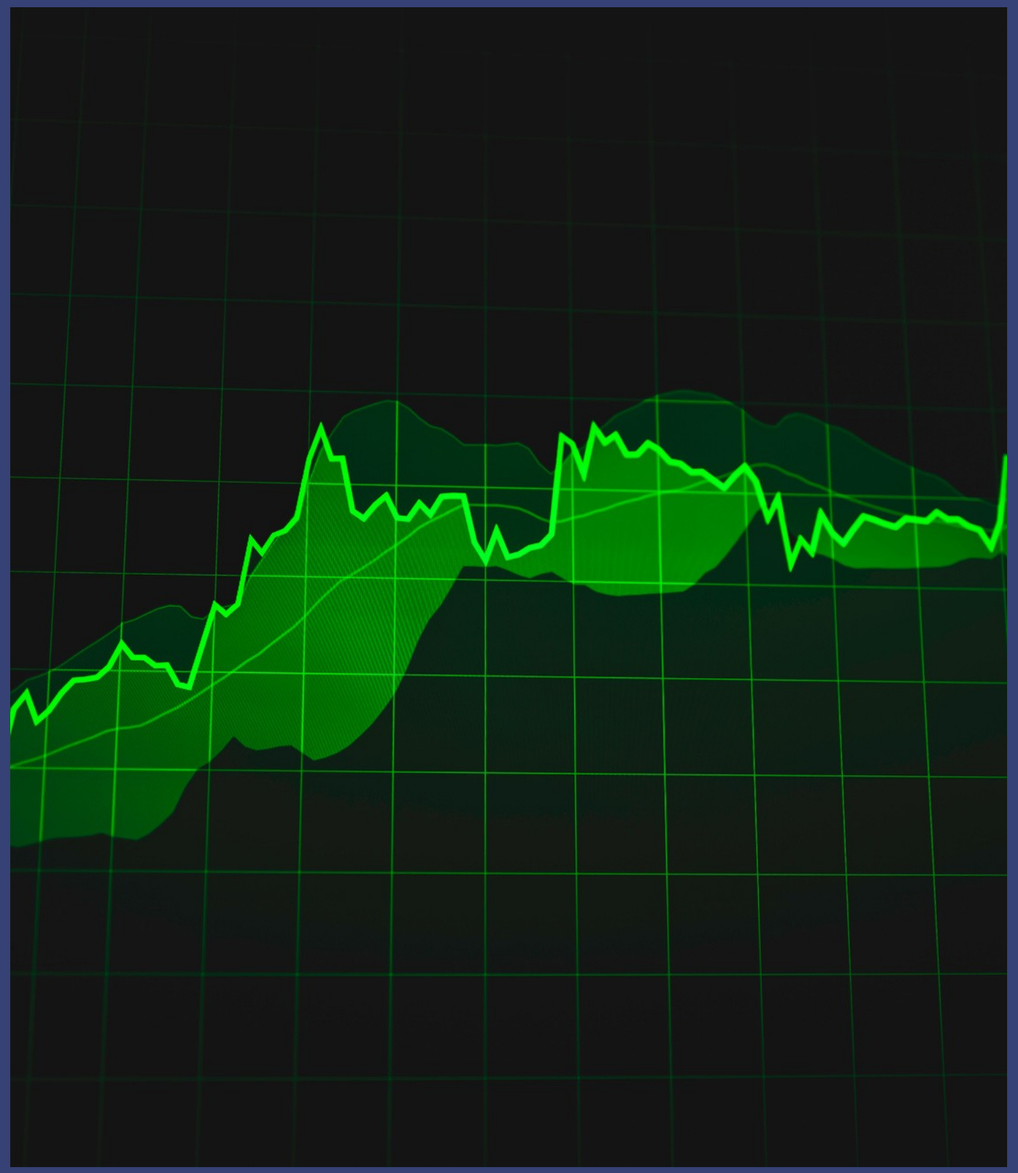
MARKET TRENDS

The marketing mix for the Rolex Chrono Edge Collection integrates innovative product features, competitive pricing, targeted promotions, and strategic distribution, aligning with the desires of modern luxury consumers.

- Swiss watch exports grew +7.5% last year.
- Chronograph models up +12% in demand among buyers 25–30.
- 62% of Millennials prefer sustainable and ethically sourced luxury.
- 40% of young Rolex fans follow watch influencers for buying decisions.
- Pre-owned luxury watch demand up +20% Year on Year

MARKET FORECASTS

- Global luxury watch market expected to reach $73B by 2030.
- U.S. demand projected to grow 5–6% annually.
- Europe expected to grow 2–3% due to its mature market.
- Chronograph segment forecasted to grow 8% CAGR.



ENVIRONMENTAL ANALYSIS

Political Factors

- Stable trade climate, but policy shifts impact luxury pricing.
- 2025 U.S. Tariff: 39% duty on Swiss watches increases retail prices.
- Strong IP enforcement protects Rolex from counterfeits across U.S. & EU.
- EU transparency regulations require proof for sustainability claims

Economic Factors

- U.S. = Largest market for Swiss watches .
- Europe remains a prestige-driven luxury hub despite slower economic growth.
- High-income brackets maintain resilient demand for Rolex even during inflation.
- Emerging trend: accessible luxury younger professionals spend on status-symbol items within reach

Social Factors

- Millennials & Gen Z seek brands with purpose – favor sustainability, craftsmanship, and exclusivity.
- Trend toward vintage/pre-owned Rolex models as fashion statements and investments.
- Purchase decisions highly influenced by Instagram, YouTube, and influencer reviews.
- Community-driven: younger consumers trust peer insights over traditional ads.

ENVIRONMENTAL ANALYSIS

Technological Factors

- Rolex expanding into digital storytelling, AR try-ons, and e-commerce.
- Online experience now critical: Gen Z expects full digital discovery before buying.
- Smartwatches challenge wrist-time; Rolex emphasizes mechanical prestige over features

Environmental Factors

- EU’s Green Deal & CSRD demand verifiable sustainability across supply chains.
- Rolex response: recycled gold/platinum, conflict-free stones, and solar-powered plants.
- Chrono Edge positions Rolex as low-waste, long-lifecycle luxury – appealing to ethical buyers

Legal Factors

- GDPR & consumer laws in EU/U.S. require clear influencer disclosures, data transparency.
- Rolex must avoid greenwashing and comply with evolving marketing laws.
- IP protection remains strong, but online counterfeit sales rising, requiring legal vigilance.
- Trade law volatility (e.g., tariffs) continues to affect pricing and planning.

SWOT ANALYSIS

STRENGTHS

•Iconic luxury brand with strong global prestige and trust.
•Exceptional craftsmanship backed by 100+ years of heritage.
High demand and strong resale value; Rolex remains a top aspirational brand

WEAKNESSES

•Ultra-premium pricing limits accessibility for younger first-time buyers.
•No smartwatch/tech integration, missing tech-savvy segments.
•Historically slow adoption of e-commerce and digital retail.

OPPORTUNITIES

•Rising Gen Z & Millennial luxury spending (fastest-growing segment).
•Chance to expand through “accessible luxury” models and strong digital marketing.
Increasing value placed on sustainability—ethical materials and recycled metals.

THREATS

•Strong competition from other luxury brands and fast-growing pre-owned markets.
•Smartwatches and screen-first lifestyles reducing demand for mechanical watches.
Economic volatility + stricter sustainability regulations increasing compliance pressure

MARKETING OBJECTIVES

- Increase Rolex market share by 10% in the age group of 25-30 within the first year and a half of the product launch.
- Increase Rolex’s social media presence and raise Rolex’s Instagram following by 20% which should help increase Rolex’s engagement by 5-8%.
- Integrate at least 25% sustainable materials in the next three years of production.

PRODUCT STRATEGY

Design Modernization

Sleek Minimalist Design
Analog face

Functional Innovation

Upgraded performance and better shock resistance

Sustainability

Recycled metal and lab-grown crystals

PRICING STRATEGY

Competitive Positioning for Young Consumers

$7,500

Average Price Point

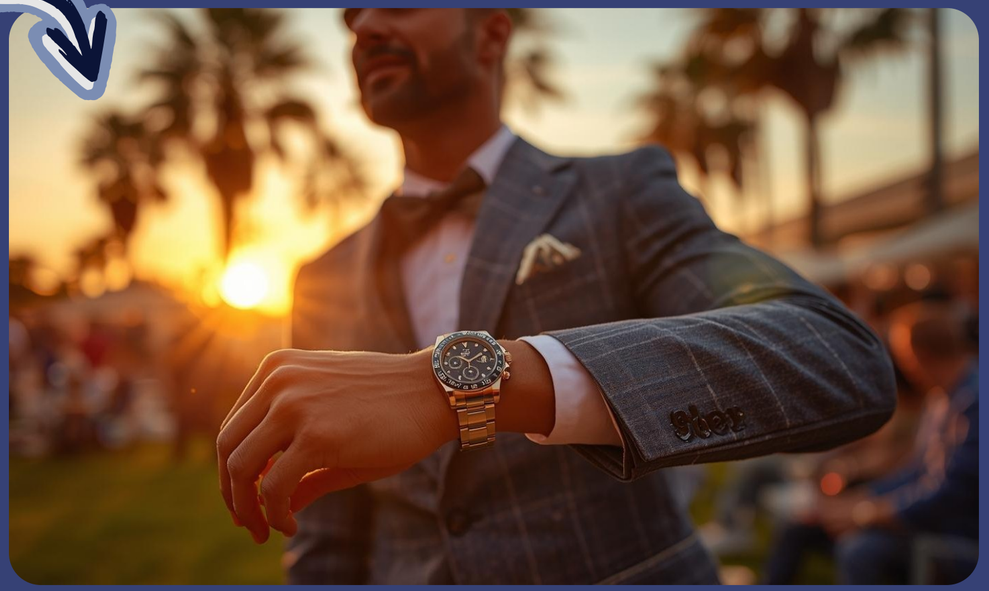
Positioned to attract younger buyers

$8,450

Price Range

Slightly below traditional Rolex pricing tiers

- How can we maintain our prestige while also targeting a younger generation?
- Value based pricing, similar to other luxury brands
- Perceived brand value, competitive positioning, craftsmanship quality
- Good entry price for our target market



PROMOTION STRATEGY

- Digital storytelling, Influencer partnerships, and Experiential marketing
- Heavy promotion on digital channels
- Communication ads
- Product shots, behind the scenes, and collaborations
- Google and Meta paid advertisements

PROMOTION BUDGET

Media Category	Allocation	Cost Estimate
Digital Advertising (IG, TikTok, YouTube, Display)	40%	$8,000,000
Influencer Partnerships	15%	$3,000,000
Experiential Pop-Up Events	25%	$5,000,000
Traditional Print / OOH	10%	$2,000,000
Content Production	10%	$2,000,000
Total Annual Media Budget	100%	$20,000,000

DISTRIBUTION STRATEGY

- Target Online Shopping Engagement
- Enhanced online experience featuring virtual consultation, 360-degree views, and an AR system
- Rolex can’t be sold online due to its exclusive brand image
- Showcasing events in-store

CONCLUSION

Re-emphasize Modernization

- Introduce fresh design language, digital-first engagement, and contemporary storytelling to align Rolex with evolving luxury expectations.
- Ensure the brand remains culturally relevant while adapting to shifting consumer values.

Capturing the Next Generation of Luxury Consumers

- Target driven, aspirational individuals aged 25-30 seeking meaningful, sustainable, and experience-oriented luxury.
- Position Rolex as the natural choice for their first major luxury timepiece.

Strengthening the Rolex Legacy

- Preserve the heritage of precision, craftsmanship, and timeless elegance that defines Rolex.
- Build on legacy by blending innovation with tradition to reinforce long-term brand prestige.

THANK YOU!

Presented By

Raj Medhekar